MGT503 – Lesson 26
Strategic Management – II
🔹 Lecture Summary (Exam-Oriented)
Strategic Management–II explains the complete strategic management process, emphasizing how organizations analyze their internal and external environments to gain a competitive advantage.
Strategic Management Process (8 Steps)
Identify Mission, Objectives & Strategies
Mission defines the organization's purpose and reason for existence.
Current objectives and strategies must also be identified.
Analyze External Environment
Environment shapes strategic options.
Effective strategies align with environmental conditions.
Managers identify trends affecting the organization.
Identify Opportunities & Threats
Opportunities: Positive external factors
Threats: Negative external factors
Analyze Organizational Resources (Internal Analysis)
Focus on assets, skills, and work activities.
Managers identify core competencies—key value-creating skills and resources that provide competitive advantage.
Organizations are always limited by resources.
Identify Strengths & Weaknesses
Strengths: What the firm does well or unique resources it controls
Weaknesses: What the firm lacks or does poorly
Organizational culture is important:
Culture = organization's personality
Strong culture supports shared values but may resist change
Culture influences risk-taking, innovation, and rewards
Formulate Strategies
Strategies are formulated at:
Corporate level
Business level
Functional level
Implement Strategies
Strategies must be put into action.
Poor implementation can destroy good strategies.
Evaluate Results
Managers assess effectiveness and make corrections if required.
SWOT Analysis
SWOT combines internal and external analysis:
Strengths (S): Internal advantages
Weaknesses (W): Internal limitations
Opportunities (O): External favorable conditions
Threats (T): External risks
SWOT helps managers identify a strategic niche and reassess mission and objectives.
📝 20 MCQs (VU Paper Pattern)
1. The strategic management process consists of:

A. Five steps
B. Six steps
C. Seven steps
D. Eight steps
✅ D
2. The first step in strategic management is identifying:
A. Strengths and weaknesses
B. Mission, objectives, and strategies
C. Opportunities and threats
D. Core competencies
✅ B
3. An organization's mission defines its:
A. Profit level
B. Market share
C. Reason for existence
D. Competitive advantage
✅ C
4. External environment analysis is important because it:
A. Controls employees
B. Defines strategic options
C. Improves internal culture
D. Reduces costs
✅ B
5. A successful strategy must align with:
A. Organizational culture only
B. Employee needs
C. External environment
D. Managerial power
✅ C
6. Opportunities are:
A. Internal strengths
B. Negative external factors
C. Positive external factors
D. Internal weaknesses
✅ C
7. Threats are:
A. Positive internal factors
B. Negative external factors
C. Core competencies
D. Organizational strengths
✅ B
8. Core competencies are:
A. Employee benefits
B. Major value-creating skills and resources
C. External opportunities
D. Organizational weaknesses
✅ B
9. Which step focuses on assets, skills, and work activities?

A. Strategy formulation
B. External analysis
C. Internal resource analysis
D. Strategy evaluation
✅ C
10. Strengths refer to:
A. External advantages
B. Activities a firm does well
C. Environmental threats
D. Market risks
✅ B
11. Weaknesses refer to:
A. Unique resources
B. External opportunities
C. Activities a firm does not do well
D. Core competencies
✅ C
12. Organizational culture is best described as:
A. Rules and procedures
B. Company profits
C. Organization’s personality
D. Employee skills
✅ C
13. A strong organizational culture:
A. Makes change easier
B. Always improves innovation
C. May resist change
D. Eliminates risk
✅ C
14. Culture influences strategy by affecting:
A. Payroll
B. Risk tolerance and innovation
C. Technology only
D. Organizational size
✅ B
15. SWOT analysis combines:
A. Planning and control
B. Internal and external analysis
C. Mission and vision
D. Strategy and structure
✅ B
16. Strengths and weaknesses are:
A. External factors
B. Internal factors
C. Environmental factors
D. Market forces
✅ B
17. Opportunities and threats exist in the:

A. Internal environment
B. Organizational culture
C. External environment
D. Management system
✅ C
18. Strategy formulation occurs at which levels?
A. Corporate only
B. Functional only
C. Business only
D. Corporate, business, and functional
✅ D
19. Strategies are only as good as their:
A. Design
B. Cost
C. Implementation
D. Documentation
✅ C
20. The final step in strategic management is:
A. Strategy formulation
B. Implementation
C. Evaluation of results
D. Environmental scanning
✅ C